

JEF SMID-Cap Strategy—A Look At Our Sector Allocation Heading Into New Year

In **Fearless Forecast**, we made 3 changes to sector allocation. We upped Discretionary and Materials to MW from UW, downgraded Energy to UW from OW. Expectations are too low for Discretionary, things should get better, while a commodity "super-cycle" could boost Materials. Oil and Nat Gas forecasts lower from here, hurts sector. We are OW Financials, Health Care, Industrials heading into '26. MW Tech & Real Estate. We remain UW Comm Serv, Staples, Utilities.

Our Overweights (OW) make up over 50% of RUTs weight: We head into '26 with an optimistic outlook for Small both on an absolute and relative basis. **Our OW sectors are as follows:**

Health Care—Group has bounced significantly since summer after posting some of its worst performance in history. The bounce can be attributed to more Fed cuts, an acceleration of M&A activity, and less harmful policies from DC. We like the setup in '26 for the group.

Financials—The sector has disappointed us in '25, but the trend in earnings is strong, a steeper curve helps, M&A is also accelerating across the sector and overall trends boosts the sector. This group fits our "cheaper is better" theme.

Industrials—This sector scares us, as its consensus to be OW the group and it's very expensive. However, it has many longer-term drivers, and an improving ISM will really help the sector.

We added two new Market Weight (MW) sectors to our list: In our Fearless Forecast, we upgraded Discretionary and Materials to Market Weight:

Discretionary—Performance was awful for this group and now sentiment is very washed out in our opinion. Lower taxes, lower gas prices, and lower interest rates should help this sector. However, we use the old cliché: it's a stock pickers group.

Materials—Chris LaFemina thinks we are in the midst of a "commodity super-cycle" and will continue to boost sector. Lower rates help the housing related groups, but sector has become more expensive.

Tech—Despite the interest, this group has lagged in Small Caps, but is still not cheap. However, earnings estimates are reasonable and have ticked higher, while M&A is also accelerating for group and helping to drive performance.

Real Estate—This is the cheapest of the Bond Proxies that also have longer-term drivers including AI. Higher for longer in terms of the 10-year hurts performance, dividend yield is below that of treasuries and too defensive of a sector for our target.

A new addition to our Underweights (UW), Energy—The group jumped 50% from the low but our Oil and Nat Gas forecasts are below current spot prices.

Staples—This is the only sector in the red YTD, has become cheaper, but has many longer-term headwinds with changes to consumer preferences. **Comm Services**—We are surprised at the strength of this sector YTD driven by a few names. The sector has poor balance sheets, and too many nonearners, that should lag. **Utilities**—This is not your Grandparents Utilities sector, but 4th most-expensive sector, flows running too hot in our opinion, and better LEIs holds the group back.

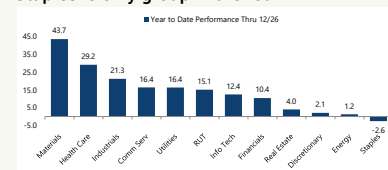
STRATEGY NOTE

We start '26 with 3 Ows and 4 UWs

Sector	Index Weight
Overweight	53.9
Financials	17.8
Industrials	17.5
Health Care	18.7
Market Weight	33.8
Info Tech	14.8
Real Estate	5.6
Discretionary	8.9
Materials	4.5
Underweight	12.2
Energy	4.7
Staples	1.8
Comm Services	2.7
Utilities	3.0

Source: FactSet; FTSE Russell; Jefferies

Mat's has been the big winner in '25, while Staples is only group in the red



Source: FactSet; FTSE Russell; Jefferies

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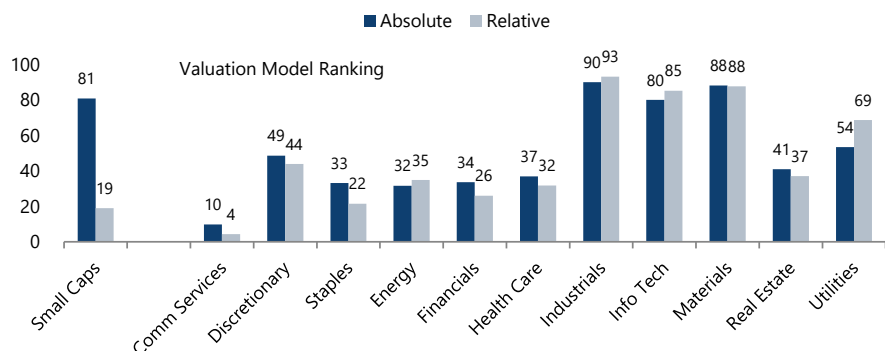
Sector Allocation Summary

Sector	Weight	Positives	Negatives
Overweight	53.9		
Financials	17.8	Earnings beats have been really strong and outlook good.	Weaker economy\Recession\Credit issues.
		M&A has really picked up and should drive higher valuations.	Lower rates for the wrong reasons.
		Fits our "Valuations Matter" theme; 3rd cheapest in Small.	Too domestically focused.
Industrials	17.5	Better ISM drives group's performance.	A very loved group by Long Only investors.
		Steeper curve really helps the sector	An expensive group.
		Lots of good longer-term trends...	...But questions around earnings due to impact of tariffs.
Health Care	18.7	Performance has really improved but more to go.	Lots of nonearners.
		Lower rates and borrowing costs.	Too domestically focused.
		M&A has really picked up for the sector, boosts performance.	We need a "Pause that Refreshes", as flows been strong.
Market Weight	33.8		
Info Tech	14.8	Earnings have been strong, very good revision trends.	Has lots of Momentum\High-Sales Growth exposure.
		Has performed well after Fed cuts.	Weaker dollar hurts, along with slower economy.
		M&A picking up.	Group of names that are retail favorites.
Real Estate	5.6	Lower borrowing costs.	Too defensive when Fed cuts rates.
		The cheapest of the Bond Proxies.	Dividend yields still below treasuries.
		Some longer-term trends will boost group.	Higher for longer?
Discretionary	8.9	Outperforms after Fed cuts rates.	Higher unemployment, weaker economy.
		Lower borrowing costs and lower gas prices.	Weaker trend in earnings and sales revisions.
		Balance sheets have improved.	A rise in VOL is not helpful for sector.
Materials	4.5	We see higher commodity prices, helps boost performance.	More expensive due to rally.
		Lower borrowing costs for home related industries.	Sentiment has been too strong.
		Some Gov't funded policies benefits sector.	Lower oil prices are a concern.
Underweight	12.2		
Energy	4.7	Energy profits bigger than sector's weight in RUT.	Lower oil prices due to too much oil in the market.
		Good balance sheets.	Nat Gas forecasts lower than commodity prices.
		Cheap, but not as cheap as they once were.	End of war in Ukraine.
Staples	1.8	After awful performance, group snaps back.	Food Products has big headwinds, big % of sector.
		Outperforms after Fed cuts rates.	One of the weaker groups in terms of balance sheets.
		Investors will rotate to group if VOL rises.	Not enough economic torque.
Comm Services	2.7	Higher for longer does help group...	...But view sector as lower quality/too many nonearners.
Utilities	3.0	Sentiment has been very strong and created tailwind...	...But flows are TOO strong.
		Lower rates boosts group...	...But dividend yield still below 10-year yield.
		Holds up when VOL picks up.	Too domestically oriented.

Source: Jefferies

Valuations

Chart 1 - Industrials most-expensive, Comm Services cheapest



As of: December 26, 2026.

Source: FactSet; FTSE Russell; Jefferies

Table 1 - Russell 2000 Absolute Sector Valuations

GICS Sector	Absolute Level						Percent Difference From Long-Term Average					
	Trailing P/E	Forward P/E	Price to Book	Price to Sales	Price to Cash Flow	EV to Sales	Trailing P/E	Forward P/E	Price to Book	Price to Sales	Price to Cash Flow	EV to Sales
Communication Services	16.2	17.0	1.3	1.0	7.0	1.7	-31.1	-16.0	-40.3	-40.7	-44.2	-26.7
Consumer Discretionary	17.3	17.2	1.6	0.8	9.7	1.1	2.3	8.3	-14.2	8.8	-7.1	23.1
Consumer Staples	21.4	16.0	1.4	0.8	10.5	0.9	9.8	-15.2	-28.6	8.8	-8.9	5.7
Energy	16.3	18.3	1.1	1.2	5.8	1.8	-10.0	8.6	-32.4	-28.9	-22.1	-29.0
Financials	13.1	12.0	1.1	2.1	10.3	2.2	-4.6	-13.4	-16.8	1.3	10.4	-21.3
Health Care	26.9	19.5	3.0	4.7	NM	3.5	0.0	-8.2	-5.8	2.1	NM	-13.7
Industrials	24.4	19.8	2.2	1.3	14.5	1.6	30.1	14.9	14.0	49.1	28.9	57.2
Information Technology	33.1	23.1	3.2	3.2	19.6	3.3	27.2	11.0	25.3	53.3	0.8	71.2
Materials	27.8	18.4	2.0	1.1	12.8	1.4	60.7	15.2	14.5	35.3	38.1	30.7
Real Estate	28.3	26.0	1.2	3.3	12.3	8.4	7.6	23.4	-17.3	-24.1	5.6	-2.0
Utilities	18.8	18.2	1.9	2.3	8.6	4.1	8.6	2.3	10.9	65.0	-3.1	69.1

Source: FactSet; FTSE Russell; Jefferies

Table 2 - Russell 2000 Relative Sector Valuations

GICS Sector	Relative Level						Percent Difference From Long-Term Average					
	Trailing P/E	Forward P/E	Price to Book	Price to Sales	Price to Cash Flow	EV to Sales	Trailing P/E	Forward P/E	Price to Book	Price to Sales	Price to Cash Flow	EV to Sales
Communication Services	0.89	1.00	0.78	0.51	0.54	0.76	36.6	7.5	-25.2	-8.4	-30.8	-40.7
Consumer Discretionary	0.95	1.02	0.96	0.39	0.76	0.49	2.0	1.3	5.4	-12.4	-23.6	-11.6
Consumer Staples	1.17	0.94	0.89	0.32	0.82	0.42	21.2	22.4	-8.4	5.4	-3.6	15.1
Energy	0.89	1.08	0.68	0.63	0.45	0.81	-59.3	-12.5	-8.4	-47.9	-62.1	-57.3
Financials	0.72	0.71	0.70	1.08	0.81	1.00	-15.7	-20.5	-20.4	-12.5	-29.5	-16.8
Health Care	1.48	1.15	1.86	2.42	NM	1.57	46.2	5.7	-19.3	-0.5	NM	-7.4
Industrials	1.34	1.17	1.37	0.66	1.14	0.73	34.8	6.6	19.6	10.0	-4.1	2.3
Information Technology	1.81	1.36	1.98	1.69	1.53	1.48	15.1	9.8	29.8	25.5	9.1	33.1
Materials	1.52	1.09	1.23	0.55	1.00	0.61	-6.2	1.9	-0.7	-4.9	-13.2	-10.3
Real Estate	1.55	1.53	0.73	1.72	0.96	3.74	37.0	19.0	-15.9	-33.9	-32.9	-27.5
Utilities	1.03	1.07	1.15	1.21	0.67	1.84	56.2	25.4	19.9	65.7	6.2	43.6

Source: FactSet; FTSE Russell; Jefferies

Earnings and Revisions

Table 3 - We think our OW sectors have reasonable expectations for '26s earnings growth

GICS Sector	2025			2026	
	Current	10/31	Difference	Earnings	Sales
Comm Serv	28.0	-12.6	40.6	43.6	1.0
Discretionary	-14.7	-8.7	-5.9	16.9	2.8
Staples	-1.8	-0.1	-1.7	6.1	2.4
Energy	-4.7	-22.1	17.4	14.6	5.0
Financials	12.8	13.3	-0.5	16.2	7.9
Health Care	4.2	-6.6	10.8	21.2	7.8
Industrials	10.4	10.5	-0.1	17.6	5.6
Info Tech	7.7	32.0	-24.3	13.1	8.7
Materials	-9.1	-10.6	1.5	34.7	4.7
Real Estate	-2.0	-3.2	1.2	9.3	4.9
Utilities	13.5	-1.2	14.6	-3.2	6.5
Universe	2.9	2.9	0.0	16.6	5.0
Univ. X-Energy	3.3	4.4	-1.1	16.7	5.0

As of: December 12, 2025

Source: FactSet; FTSE Russell; Standard & Poors; Jefferies

Table 4 - Q3 and Q4s earnings and sales growth by sector

GICS Sector	Q3 2025A		Q4 2025P	
	Earnings	Sales	Earnings	Sales
Comm Serv	-17.5	-13.3	33.8	-6.9
Discretionary	-4.5	1.6	-10.8	-0.5
Staples	13.0	3.9	-17.6	1.2
Energy	-10.9	-1.4	-24.8	-1.2
Financials	9.7	8.1	27.0	15.2
Health Care	57.0	8.5	3.9	5.2
Industrials	24.0	4.5	2.2	2.5
Info Tech	36.3	6.4	10.8	10.2
Materials	0.1	-0.6	-4.1	-0.6
Real Estate	4.3	13.4	3.3	4.4
Utilities	83.7	-19.3	-7.5	8.0
Universe	14.0	3.0	4.4	3.0
Univ. X-Energy	15.8	3.5	6.1	3.4

Source: FactSet; FTSE Russell; Standard & Poors; Jefferies

Table 5 - Tech and Fin's have very strong revision trends

	Revision Ratios					
	Earnings			Sales		
	Current	3-Months Ago	Average	Current	3-Months Ago	Average
Russell 2000	1.28	1.17	0.90	1.28	1.46	0.99
Comm Services	0.83	0.76	0.81	0.65	0.87	0.93
Discretionary	1.07	1.21	0.96	1.22	1.80	1.02
Staples	1.12	1.50	0.91	1.27	1.46	1.19
Energy	1.37	0.76	0.83	1.41	0.77	0.99
Financials	1.73	1.46	1.03	1.26	1.44	1.12
Health Care	1.37	1.24	0.97	1.45	1.55	0.97
Industrials	0.94	1.27	0.88	1.37	1.38	1.03
Info Tech	2.26	1.19	1.06	1.61	2.30	1.15
Materials	0.62	1.22	0.83	0.59	1.18	1.03
Real Estate	0.97	0.78	1.01	1.38	1.25	1.30
Utilities	0.64	1.71	1.03	0.70	2.17	1.23

Source: FactSet; FTSE Russell; Jefferies

Macro Drivers & Sentiment

Table 6 - A look at how each sector responds to 10 key macro variables

Correlation with Relative Performance versus the Russell 2000										
Sector	10-Year	2-Year	Shape	HY Yields	Dollar	Oil	Inflation expect	Fed Funds	Y-O-Y VIX	Y-O-Y LEI
Comm Serv	0.31	-0.03	0.41	0.34	-0.64	-0.15	0.23	-0.08	-0.16	0.21
Discretionary	0.30	0.15	0.11	-0.29	0.01	-0.23	0.37	0.09	-0.36	0.29
Staples	-0.27	0.03	-0.36	-0.18	0.62	0.13	-0.34	0.10	0.44	-0.56
Energy	0.32	-0.07	0.50	0.38	-0.86	0.48	0.55	-0.09	-0.21	0.18
Financials	0.57	0.32	0.13	0.38	-0.15	-0.45	0.11	0.21	0.05	-0.04
Health Care	-0.76	-0.41	-0.21	-0.44	0.42	-0.26	-0.58	-0.36	0.35	-0.13
Industrials	0.07	0.34	-0.48	-0.10	0.47	0.46	-0.05	0.43	-0.08	-0.06
Info Tech	-0.25	0.12	-0.50	-0.40	0.73	-0.12	-0.35	0.19	0.02	-0.16
Materials	-0.35	-0.36	0.19	-0.15	-0.29	0.70	0.22	-0.28	-0.27	0.15
Real Estate	-0.32	-0.41	0.29	-0.04	-0.44	0.00	-0.06	-0.40	-0.14	0.23
Utilities	-0.63	-0.37	-0.12	0.12	0.29	-0.19	-0.62	-0.35	0.39	-0.35
R2000	-0.07	-0.39	0.57	0.08	-0.75	0.17	0.34	-0.45	-0.32	0.32

Note: From 2003 through November 30, 2025.

Source: FactSet; FTSE Russell; Jefferies

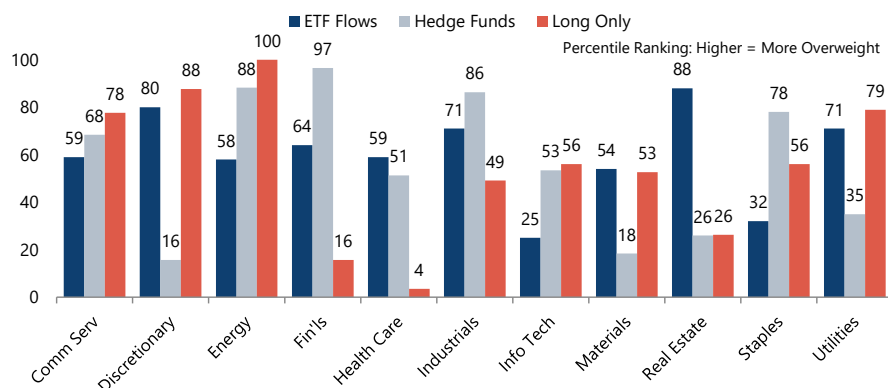
Table 7 - We look for >2% GDP in '26, what are the leading and lagging sectors under this scenario
Small Caps

Sector	Average Annual Return (in %)			Average Relative Return (in %)		
	<2% GDP	>2% GDP	Overall	<2% GDP	>2% GDP	Overall
Comm Serv	-7.5	15.6	9.7	-14.2	3.5	-0.9
Discretionary	13.6	9.7	10.7	5.4	-1.8	0.0
Staples	13.7	11.4	12.0	5.5	-0.2	1.2
Energy	-5.1	14.8	9.7	-12.0	2.8	-0.9
Financials	8.6	12.6	11.6	0.7	0.8	0.8
Health Care	14.6	11.4	12.2	6.4	-0.3	1.4
Industrials	7.8	12.9	11.6	0.0	1.0	0.8
Info Tech	9.5	14.9	13.5	1.6	2.9	2.5
Materials	9.6	12.7	11.9	1.6	0.9	1.1
Real Estate	7.6	10.8	10.0	-0.2	-0.8	-0.6
Utilities	5.6	11.9	10.3	-2.1	0.2	-0.4
Russell 2000	7.8	11.7	10.7	—	—	—

Note: Annual performance from '85 through '24.

Source: FactSet; FTSE Russell; Jefferies

Chart 2 - Our new sentiment indicators confirm the fact that Health Care is still not well liked



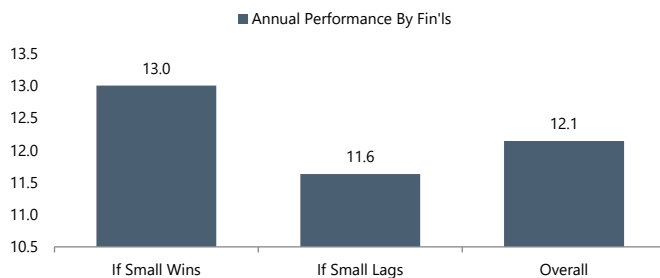
Source: FactSet; FTSE Russell; MSCI; Jefferies

Overweight—Financials

We have been disappointed by the performance of this sector in Small Caps, as the group has lagged by close to 500bps, but we stick with the group heading into '26:

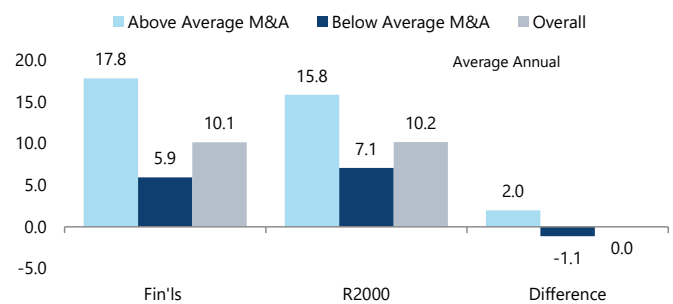
- If we are correct and Small beats Large, Fin'l's will have to deliver strong and better than average performance.
- M&A activity has broadly accelerated with Fin'l's seeing quite a few deals. We think this trend continues in '26 and when M&A is above average, the group returns better than its average return with a gain of close to 18%.
- Earnings have been coming in much better than expected over the last several quarters for the group, and we see this continuing.
- Estimates look very reasonable, given the steeper yield curve, while revision ratios have been very strong.

Chart 3 - If Small beats Large, Fin'l's delivers better than average performance



Source: FactSet; FTSE Russell; Jefferies

Chart 4 - When M&A in Fin'l's is strong, performance has been quite good in the past



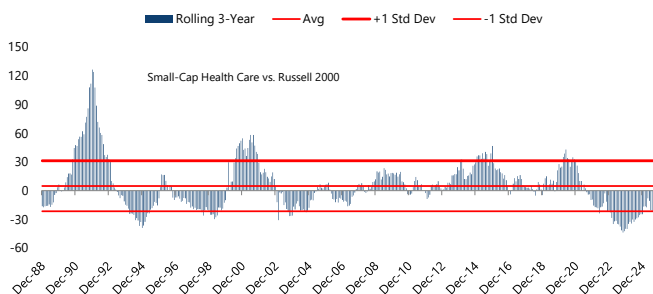
Source: FactSet; FTSE Russell; Jefferies

Overweight—Health Care

This sector has been the comeback kid in '25 and is 2nd best inside the Russell 2000. We like the sector heading into '26 for the following reasons:

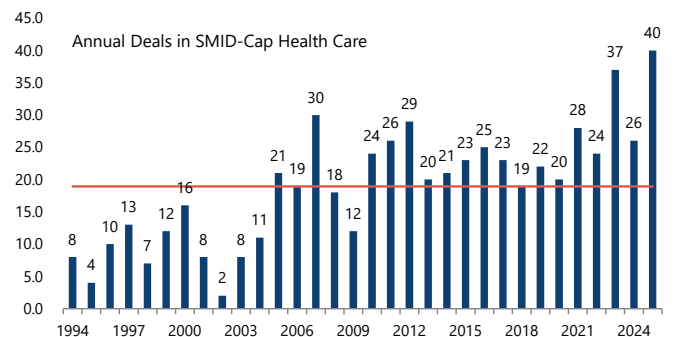
- Even though performance has improved, the rolling 3-year return is still in the red when the group normally outperforms. The sector has a long runway to play a game of catch up.
- M&A activity over the first 11 months was record-breaking with 40 deals announced. We should see a comparable amount of transactions in '26 and will help boost performance.
- Lower rates, both in terms of borrowing costs and Fed Funds, is a good backdrop for this sector.
- The fears blowing in from DC seem less than anticipated, at least at this point, and so this has become less of a headwind.
- We do think the sector's interest needs to cool a bit, as ETF fund flows are running too hot.

Chart 5 - Despite rebound, Health Care's rolling performance still well below average, more to go



Source: FactSet; FTSE Russell; Jefferies

Chart 6 - A new record in terms of M&A, should help performance



Source: FactSet; Bloomberg; FTSE Russell; Jefferies

Overweight—Industrials

It has been a very good year for this sector, but it has lagged more recently. We have liked the group for some time, but it does have quite a few longer-term drivers that will help this group.

- The outperformance has come despite the ISM staying firmly below the 50 mark for just about all of '25. If the ISM does turn up, the year-over-year change gets better along with performance.
- As we mentioned above, the sector has longer-term drivers like the build out of AI and re-shoring of businesses to the US.
- When GDP is above 2%, the Jefferies forecast, this sector tends to deliver very strong and better than average performance.
- This group has been a fan favorite, as its OW by Long Only investors and ETF flows running "hotter than a boiling kettle". This has pushed valuations to extremes, as the group is the most-expensive inside the size segment.
- This sector has many different industries with different drivers. We use cliché that the sector is all about stock picking.

Chart 7 - A rising ISM should mean rising performance for the sector

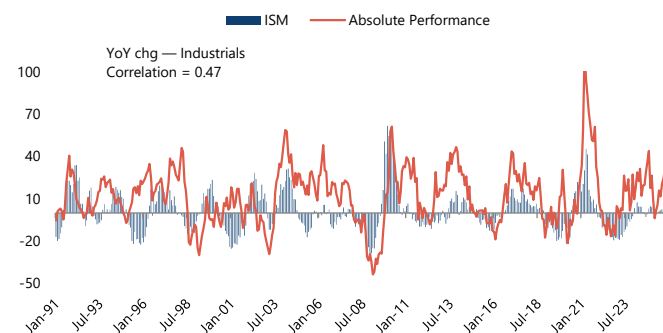
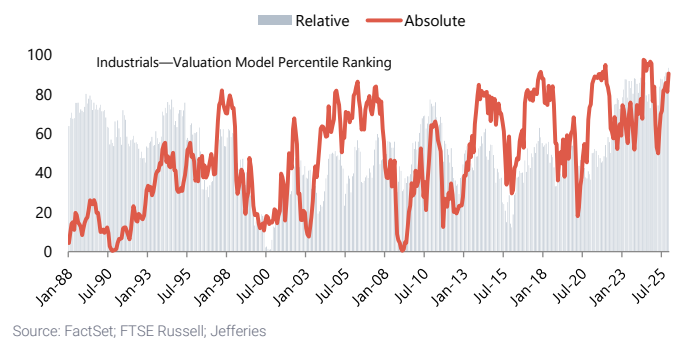


Chart 8 - This is the most-expensive sector inside the size segment



Market Weight—Discretionary

In our Fearless Forecast, we upgraded the sector to Market Weight from UnderWeight, as performance has been extremely weak. Sentiment for the group by investors has been awful, but the backdrop for the companies are showing some signs of getting better.

- Lower rates, lower gasoline prices, and lower taxes should be a tailwind for this sector.
- We see economic activity improving in '26 with Leading Economic Indicators turning up, and this has been good for the sector.
- Earnings expectations seem low to us for '26, and earnings and sales revision ratios have improved.
- Balance sheets have improved over the last several quarters.
- This sector is also all about stock-picking.

Chart 9 - Lower oil prices have been very good thing for this sector...

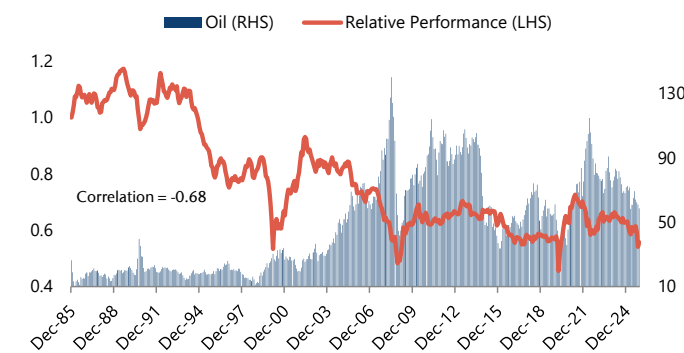
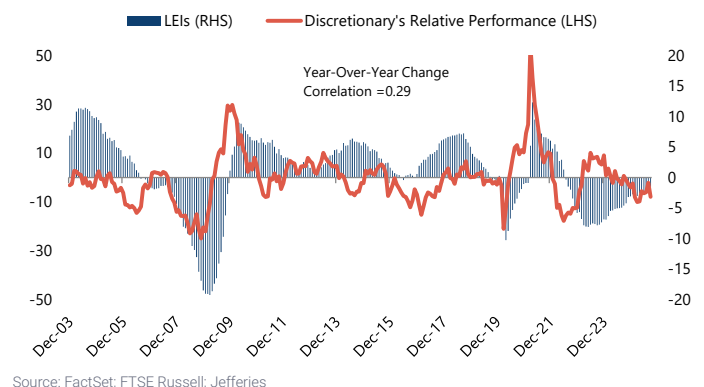


Chart 10 - ...And we see LEIs turning up in '26, which will also help the sector's performance



Market Weight—Materials

What a ride it's been for this sector in '25, as it's been the best-performer by a wide margin and up over 40%. **However, if we take out the Metals & Mining industry, the return goes from +41% to into the red by 1.7%.** We upgraded the group after the strong performance in '25, as the Jefferies Metal & Mining analyst, Chris LaFemina, thinks we are in the midst of a commodity super-cycle.

- Performance of the group does follow commodity prices, and if they continue to move higher, that helps Metals and Mining and the overall group.
- A lower 2-year and 10-year yield (if that happens) will help the group.
- The sector does have lots of longer-term tailwinds aided by the AI build out.
- We did not move to an OW, as other industries inside the sector are still challenged such as housing. If the 10-year stays elevated due to inflation, broadly housing struggles and will have an impact on this group.
- With the better performance, the sector has become much more expensive with the relative model in the 88th percentile and is the 2nd most-expensive group in the size segment, even more expensive than Tech.

Chart 11 - We could be in the midst of a commodity super-cycle driving up the CRB, this would help Materials

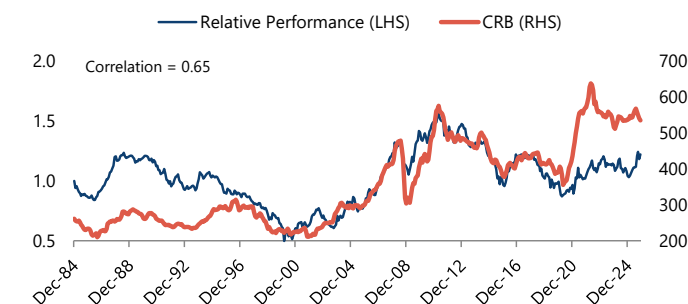
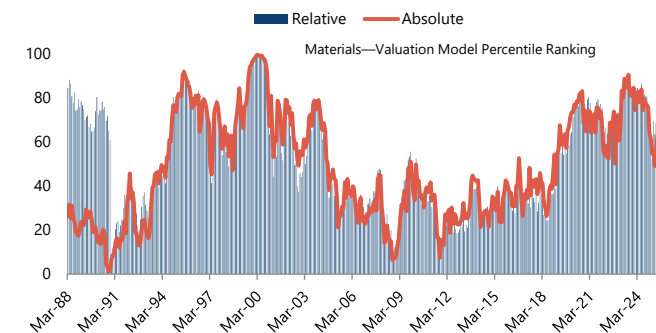


Chart 12 - The sector has become much more expensive with its better performance



Market Weight—Info Tech

Despite all the buzz around this sector due to AI, it has lagged inside the Russell 2000 by over 200bps. The underperformance by the sector has us more interested in the group, and look for improving earnings trends and a pickup in M&A. **A few points for the group:**

- The sector is very earnings momentum driven, and we have seen numbers climbing of late. The Jefferies tech team does think numbers might be too low heading into '26, and we will play a game of wait and see right now, hence the MW to the group.
- When GDP is >2%, the sector performs quite well and beats the Russell 2000 by a wider margin.
- A Fed easing cycle has been good for this sector's performance.
- Given weakness in Software this year and valuations falling, we could see a real acceleration in M&A for this industry and overall sector. This would bring back animal spirits to the group, re-rating it higher.
- Despite weaker performance, valuations are still very expensive.

Chart 13 - This sector is earnings momentum driven and currently has the wind at its back

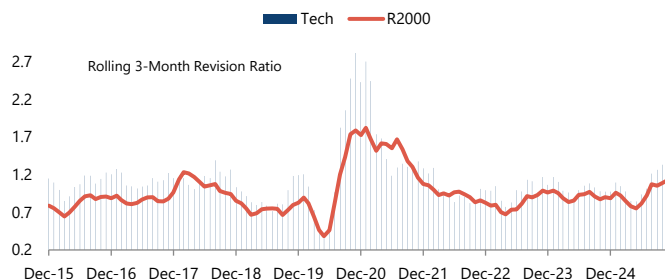
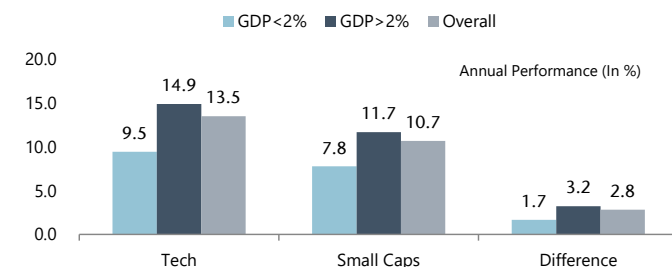


Chart 14 - When GDP is above 2%, the sector performs quite well and outperforms the index by a wider margin



Market Weight—Real Estate

Despite some strong tailwinds for a number of industries inside of Real Estate, the sector has lagged by a very wide margin in '25. **We still think no better than Market Weight makes sense due to the following:**

- **On the positive front**, as the Fed lowers rates in '26 via Fed Funds, this helps the sector.
- This is the cheapest of the Bond Proxies at 16.8x FFO, trading just slightly above the long-term average. As for relative, the group is 30% cheaper than the R3000 and below the historical average by close to 30%.
- The group does have a few groups that have longer-term drivers.
- **On the negative side**, if the Russell gains double digits, this sector tends to get left behind.
- When the economy grows over 2%, this sector trails by a wider margin than average.

Chart 15 - This is the cheapest Bond Proxy with Real Estate at 16.8x FFO

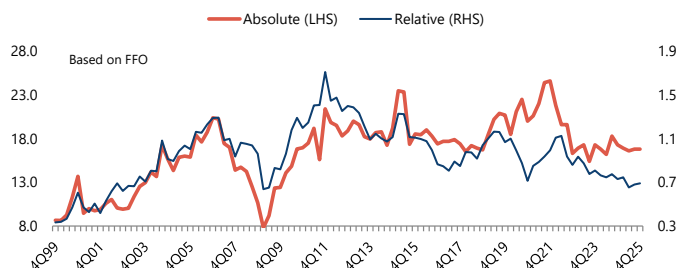
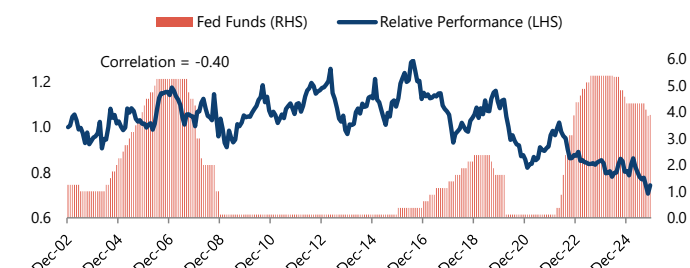


Chart 16 - The Fed lowering rates, creates a good backdrop for the group

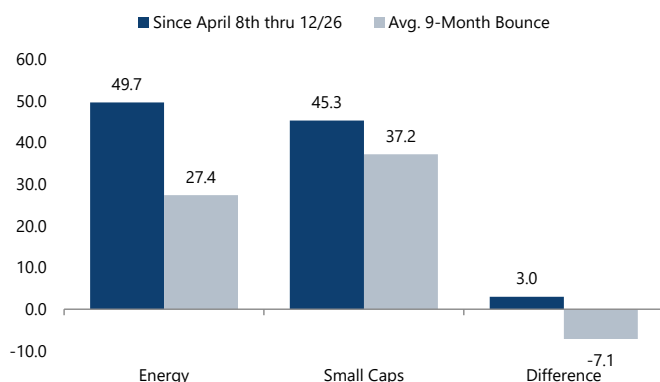


Underweight—Energy

We moved to an UW during our Fearless Forecast, as the group had quite the bounce from the market low. However, the Jefferies Oil and Nat Gas forecasts are below the current spot prices....

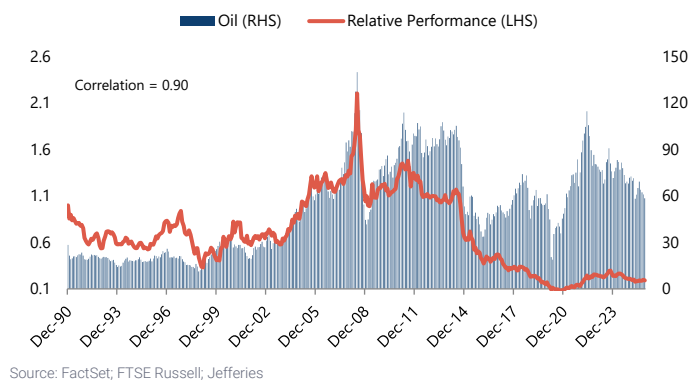
- ...And when Oil and Gas prices fall, so too does the sector.
- If we see market VOL rise, this sector tends to lag behind.
- The potential end of the war in Ukraine would be a short-term pothole for the sector in our opinion.
- There are some favorable drivers for the group such as an economy growing north of 2%, a steeper yield curve, and a weaker dollar.
- Lloyd Byrne, Jefferies Energy analyst, still likes stocks that have exposure to Nat Gas.

Chart 17 - An unusually strong bounce by Energy from the low, too strong



Source: FactSet; FTSE Russell; Jefferies

Chart 18 - If Oil prices stay weaker, this sector will trail behind



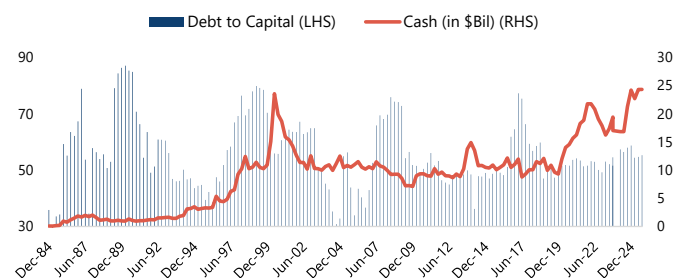
Source: FactSet; FTSE Russell; Jefferies

Underweight—Comm Services

We have been quite surprised by the strength in performance by this sector YTD. We have a very hard time finding groups and stocks in the sector we like, thus we stick with UnderWeight:

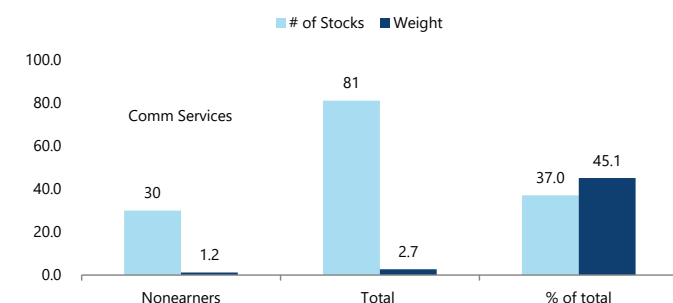
- Balance sheets have gotten better, but the group still has quite a bit of debt and that makes us nervous.
- Too many Nonearners in this sector and if we think these stocks lag, the sector will also struggle.
- Earnings are expected to sharply bounce back in '26, but we are less confident in this happening.
- We do see a number of positives for the group such as lower rates, better economic growth, and a steeper curve. However, given the strength in performance in '25, we think much of the good news is already priced in.

Chart 19 - Balance sheets have gotten better, but still one of the worst sectors inside of Small Caps



Source: FactSet; FTSE Russell; Jefferies

Chart 20 - We see the Nonearners lagging in '26 and this group is driven by this cohort



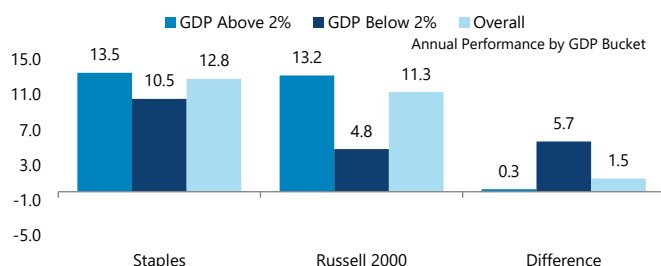
Source: FactSet; FTSE Russell; Jefferies

Underweight—Staples

This sector owns two notable distinctions (?)—It is the only group NOT up double digits from the low and is still in the red YTD. We start this sector with an UW, as **many of the headwinds for the group remains:**

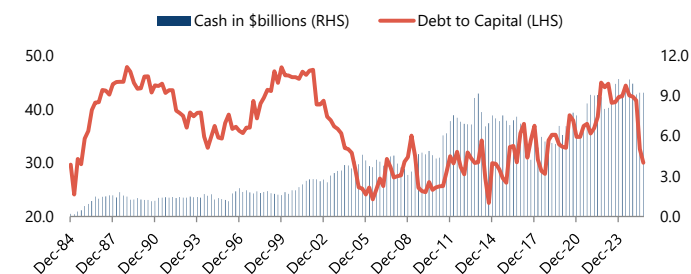
- A faster economy with LEIs accelerating is not as helpful for this sector as other groups.
- If Small's return is better than average, this sector tends to get left behind.
- A steeper curve and sticky inflation is not helpful for the sector.
- The group has become much cheaper, but we think earnings estimates are too high and numbers are getting cutting significantly.
- **One positive:** These companies did do a very good job cleaning up their balance sheets of late.

Chart 21 - A faster economy = weaker Staples' relative performance



Source: FactSet; FTSE Russell; Jefferies

Chart 22 - Balance sheets have improved for Staples



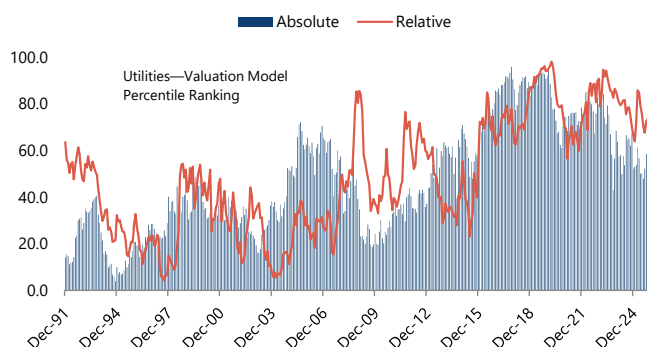
Source: FactSet; FTSE Russell; Jefferies

Underweight—Utilities

For a group not known for excitement, it has seen quite a bit of interest in '25 due to the AI build out. The sector has outperformed YTD, but has been weak of late. We think the weakness continued into '26 and UW makes sense to us.

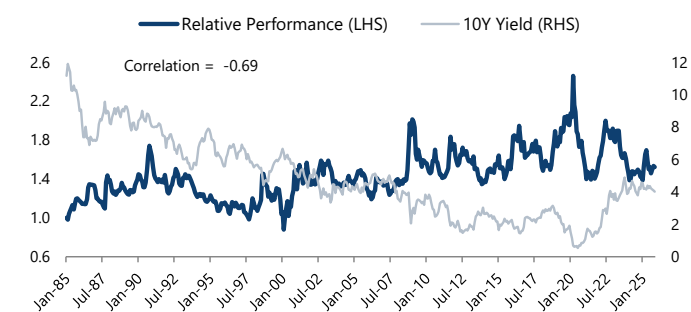
- Given its performance, it's a very expensive group.
- The JEF forecast is for the 10-year yield to stay elevated in '26, and that too does not help the sector.
- Its dividend yield is below that of the 10-year, and investors are now seeking dividend yielding names.
- Better LEIs with the economy accelerating in '26 does not help this sector.
- JDS, JEF's Utilities & Alternative/Clean Energy analyst, prefers the Power (Unregulated), and Integrated Utilities' names.

Chart 23 - Utilities remains a very expensive sector...



Source: FactSet; FTSE Russell; Jefferies

Chart 24 - ...And higher for longer does not help this group



Source: FactSet; FTSE Russell; Jefferies

Analyst Certification:

I, Steven G. DeSanctis, CFA, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

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Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

Recommendation Published
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The expected total return (price appreciation plus yield) for Buy rated securities with an average security price consistently below \$10 is 20% or more within a 12-month period as these companies are typically more volatile than the overall stock market. For Hold rated securities with an average security price consistently below \$10, the expected total return (price appreciation plus yield) is plus or minus 20% within a 12-month period. For Underperform rated securities with an average security price consistently below \$10, the expected total return (price appreciation plus yield) is minus 20% or less within a 12-month period.

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Distribution of Ratings			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2162	61.09%	373	17.25%	114	5.27%
HOLD	1217	34.39%	108	8.87%	17	1.40%
UNDERPERFORM	160	4.52%	1	0.62%	1	0.62%